being the low-cost provider of insurance. His reports detailed how the company continually reduced costs. Even in 1981, when GEICO was the country's seventh-largest writer of automobile insurance, Byrne shared his secretary with two other executives. He boasted how the company serviced 378 policies per GEICO employee, up from 250 years earlier. During his turnaround years, he was always a great motivator. "Byrne," said Buffett, "is like the chicken farmer who rolls an ostrich egg into the henhouse and says, 'Ladies, this is what the competition is doing.'"[11]

Over the years, Byrne happily reported the successful progress of GEICO; he was equally candid with his shareholders when the news turned bad. In 1985, the company temporarily stumbled when it had underwriting losses. Writing in the company's first-quarter report to shareholders, Byrne "likened the company's plight to that of the pilot who told his passengers, 'the bad news is that we are lost, but the good news is that we are making great time.'"[12] The company quickly regained its footing and the following year posted profitable underwriting results. But, just as important, the company gained the reputation for being candid with its shareholders.

Tenet: Rationality

Over the years, Jack Byrne demonstrated rational behavior managing GEICO's assets. After he took charge, he positioned the company for controlled growth. It was more profitable, Byrne figured, to grow at a slower rate that allowed the company to carefully monitor its losses and expenses than to grow twice as fast if it meant losing financial control. Even so, this controlled growth continued to generate excess returns for GEICO, and the mark of rationality is what the company did with the cash.

Starting in 1983, the company was unable to invest its cash profitably so it decided to return the money to its shareholders. Between 1983 and 1992, GEICO repurchased, on a postsplit basis, 30 million shares, reducing the company's total common shares outstanding by 30 percent. In addition to buying back stock, GEICO also began to increase the dividend it paid to its shareholders. In 1980, the company's split-adjusted dividend was $0.09 per share; in 1992, it was $0.60 per share, a 21 percent annual increase.